

Chapter 6 Why Liberal Peace Fails: Nationalist Leaders and Economic Dependence

Abstract

Liberal peace research maintains that trade interdependence promotes interstate peace. In this chapter, I examine the interaction between leader nationalism and the pacifying effects of trade. I propose that when state leaders promote nationalism to shore up political legitimacy, they are not incentivized to foster liberal peace through trade. Quantitative and qualitative analyses show that the presence of nationalist leaders undermines the pacifying effect of trade, increasing the likelihood of (fatal) militarized disputes but not necessarily of open warfare. These findings indicate that when the politico-security interests of nationalist leaders conflict with the peace dividends of trade, they are willing to engage in low-level conflict. Even nationalist leaders appear cautious about engaging in a bloody war with trading partners. Nevertheless, the overall results imply that liberal peace theory's predictions in the era of rising nationalism may not be as assured as previously believed.